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Case No:

25NNCV09140

Hearing Date: 09/18/2026 – 8:30 a.m.

Trial

Date: 05/10/2027

Case Name: TIFFANY BUILDERS, LLC., v. CALVARY BAPTIST CHURCH OF BURBANK, INC., ET AL.

[TENTATIVE RULING ON DEMURRER]

RELIEF REQUESTED

Defendant,

Calvary Baptist Church of Burbank, Inc. (Calvary Baptist), demurs to the seventh cause of action (fraudulent inducement) in the Verified Second Amended Complaint (SAC) pursuant to CCP §§ 430.10(e) and 430.10(f).

PROCEDURAL ANALYSIS

Moving

Party: Defendant, Calvary Baptist Church of Burbank, Inc. (Defendant or Calvary Baptist)

Responding

Party: Plaintiff, Tiffany Builders, LLC (Plaintiff)

Moving

Papers: Notice/Demurrer

Opposition

Papers: Opposition

Reply

Papers: Reply

Meet and Confer

A party filing a demurrer "shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer." (CCP, § 430.41(a).) "The parties shall meet and confer at least five days before the date the responsive pleading is due. If the parties are not able to meet and confer at least five days prior to the date the responsive pleading is due, the demurring party shall be granted an automatic 30-day extension of time within which to file a responsive pleading, by filing and serving, on or before the date on which a demurrer would be due, a declaration stating under penalty of perjury that a good faith attempt to meet and confer was made and explaining the reasons why the parties could not meet and confer." (CCP, § 430.41(a)(2).)

Failure to sufficiently meet and confer is not grounds to overrule or sustain a demurrer. (CCP, § 430.41(a)(4).)

Here, Defendant's counsel alleges that a meet and confer occurred. (See Gerro Decl., ¶¶ 2-4.)

LEGAL STANDARDS FOR DEMURRERS

Demurrer – Sufficiency

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda, (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.) The court

“treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law” (Berkley v. Dowds (2007) 152 Cal.App.4th 518, 525.)

In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters; therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (Code Civ. Proc., §§ 430.30, 430.70.) The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action. (Hahn, supra, 147 Cal.App.4th at 747.)

The general rule is that the plaintiff need only allege ultimate facts, not evidentiary facts. (Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 550.) “All that is required of a plaintiff, as a matter of pleading ... is that his complaint set forth the essential facts of the case with reasonable precision and with sufficient particularity to acquaint the defendant with the nature, source and extent of his cause of action.” (Rannard v. Lockheed Aircraft Corp. (1945) 26 Cal.2d 149, 156-157.)

On demurrer, a trial court has an independent duty to “determine whether or not the ... complaint alleges facts sufficient to state a cause of action under any legal theory.” (Das v. Bank of America, N.A. (2010) 186 Cal.App.4th 727, 734.) Demurrers do not lie as to only parts of causes of action, where some valid claim is alleged but “must dispose of an entire cause of action to be sustained.” (Poizner v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 119.) “Generally it is an abuse of discretion to sustain a demurrer without leave to amend if there is any reasonable possibility that the defect can be cured by amendment.” (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.)

Demurrer – Uncertainty

A special demurrer for uncertainty, CCP section 430.10(f), is disfavored and will only be sustained where the pleading is so bad that defendant cannot reasonably respond—i.e., cannot reasonably determine

what issues must be admitted or denied, or what counts or claims are directed against him/her. (Khoury v. Maly's of Calif., Inc. (1993) 14 Cal.App.4th 612, 616.) Moreover, even if the pleading is somewhat vague, "ambiguities can be clarified under modern discovery procedures." (Ibid.)

BACKGROUND

Plaintiff, Tiffany Builders, LLC, filed a complaint on 12/22/2025.

Plaintiff filed the FAC on 4/10/2026.

On 7/1/2026, this Court sustained Defendant, Glen Oaks Escrow Company's, demurrer (targeted at the seventh cause of action) with leave to amend, and this Court granted Glen Oaks Escrow Company's motion to strike with leave to amend.

On 7/10/2026, Glen Oaks Escrow Company filed a cross-complaint in interpleader.

On 7/20/2026, Plaintiff filed a Verified Second Amended Complaint (SAC).

The Defendants named in the SAC are:

(1) Calvary Baptist Church of Burbank, Inc.; (2) Glen Oaks Escrow Company; and (3) Eduard Khachatryan, dba Luxury Homes International and as Global Equity Partners.

Plaintiff's SAC lists the following seven causes of action: (1) Declaratory Relief; (2) Rescission (Civ. Code §§ 1688-1692); (3) Money Had and Received; (4) Breach of Implied Covenant of Good Faith and Fair Dealing; (5) Breach of Fiduciary Duty; (6) Constructive Trust/Equitable Lien; and (7) Fraudulent Inducement.

In general, Plaintiff's (Buyer) dispute involves allegations pertaining to the sale of real property (724 South Glen Oaks Blvd, Burbank, CA, 91502).

Plaintiff (Buyer) alleges that it and Seller (Defendant, Calvary Baptist) negotiated a written Purchase and Sale

Agreement (PSA) for the purchase of the subject property, wherein the PSA included as a material term that the parties would use Prime Time Escrow and that Buyer/Plaintiff would have a defined inspection period for due diligence. (SAC, ¶ 7-8.)

Plaintiff alleges that the initial understanding between the parties included Buyer/Plaintiff's request to use Prime Time Escrow, that seller initially agreed, and that seller circulated a PSA package that unilaterally substituted Glen Oaks Escrow as the escrow holder, contrary to the mutual understanding. (SAC, ¶¶ 9-10.)

Plaintiff alleges that Seller's Broker (Eduard Khachatryan) and Seller's counsel (Gerro & Gerro, LLP) represented to Buyer that Glen Oaks was reputable and neutral, and further assured Buyer that any potential conflict was resolved because the escrow employee of concern was "no longer there." (SAC, ¶ 11.)

Plaintiff further alleges that it relied upon those representations, but in truth, Glen Oaks Escrow had prior and continuing business relationships that created significant conflicts with Plaintiff/Buyer, and the substitution was made to favor Seller. (SAC, ¶ 12.)

Plaintiff alleges that the substitution of the initial escrow with Glen Oaks was a material alteration of the PSA that required mutual assent under Civil Code § 1698. (SAC, ¶ 13.)

Defendant, Calvary Baptist (Seller), now demurs to the seventh cause of action for fraudulent inducement.

TENTATIVE RULING

Defendant/Seller, Calvary Baptist, demurs to the seventh cause of action for fraudulent inducement.

Defendant argues that the fraudulent inducement claim fails to state a cause of action pursuant to CCP § 430.10(e) because it fails to plead with particularity any misrepresented material fact.

Defendant argues that the fraudulent inducement claim fails on grounds of uncertainty/ambiguity [CCP § 430.10(f)]

because Plaintiff fails to specify the conflict that Plaintiff had with certain employees.

For the reasons explained below, the Court does not find Defendant's arguments availing.

With respect to Plaintiff's seventh cause of action (fraudulent inducement) Plaintiff alleges:

74.

Plaintiff incorporates by reference each and every allegation contained in paragraphs 1 through 73 as though fully set forth herein.

75.

Prior to Plaintiff's execution of the Purchase and Sale Agreement and throughout the escrow process, Plaintiff expressed concern regarding Glen Oaks Escrow Company because of a known conflict involving one of its employees and objected to the continued use of Glen Oaks as the escrow holder.

76.

In response to those concerns, Defendant Calvary Baptist Church, acting through its authorized representatives, including real estate broker and legal counsel acting within the course and scope of their authority, represented to Plaintiff that Glen Oaks Escrow Company was an appropriate and neutral escrow holder and that the employee who had created Plaintiff's concerns was "no longer there," thereby assuring Plaintiff that the conflict had been resolved.

77. At the time these

representations were made, Calvary knew, or had no reasonable basis to believe, that the representations were true, or intentionally omitted material facts concerning the continuing relationship between Calvary and Glen Oaks and the circumstances surrounding Plaintiff's expressed conflict concerns.

78. The foregoing

representations and omissions were made with the intent of inducing Plaintiff to continue with the transaction, execute and perform under the Purchase and Sale Agreement, proceed with Glen Oaks as escrow holder, deposit the \$150,000 earnest money deposit, and refrain from insisting upon a different escrow holder or terminating the transaction.

79. Plaintiff reasonably

relied upon Calvary's representations and omissions in deciding to proceed with the transaction. Had Plaintiff known the true facts, Plaintiff would not have agreed to proceed under the circumstances presented, would not have entrusted the transaction to Glen Oaks Escrow Company, and would not have deposited or permitted the continued retention of the \$150,000 earnest money deposit.

80. Thereafter, Plaintiff's

concerns materialized. Plaintiff contends that the escrow was administered in a manner inconsistent with the neutrality Plaintiff had been led to expect, Plaintiff's contractual inspection rights became the subject of dispute, Plaintiff's rescission was rejected, and Plaintiff's \$150,000 earnest money deposit has been wrongfully withheld, resulting in substantial financial damage.

81. As a direct and proximate

result of Calvary's fraudulent inducement, Plaintiff has suffered damages according to proof at trial, including but not limited to the loss of the use of its \$150,000 earnest money deposit, consequential damages, interest, attorney's fees where authorized by law or contract, and such other damages as may be proven.

82.

Plaintiff is informed and believes, and thereon alleges, that the conduct of Defendant Calvary Baptist Church was intentional, fraudulent, and carried out with conscious disregard of Plaintiff's rights, thereby entitling Plaintiff to recover punitive and exemplary damages pursuant to Civil Code section 3294.

(SAC, ¶¶ 74-82.)

Issue 1

Although

Defendant is demurring on the basis of failure to state facts sufficient to constitute a cause of action, surprisingly, Defendant's demurrer does not state what the necessary elements are in order to sufficiently allege a cause of action for fraudulent inducement.

Issue 2

Defendant

argues that Plaintiff fails to allege materiality.

Defendant

argues that by Plaintiff failing to specify the conflict it had with an employee of Glen Oaks Escrow, it is uncertain whether the alleged misrepresentation was material or immaterial.

Here,

Defendant's argument is unavailing.

First,

Defendant provides no legal authority for the proposition that Plaintiff must allege/specify the conflict it had with an employee of Glen Oaks Escrow.

Second,

Defendant's argument on uncertainty is unavailing.

A special

demurrer for uncertainty, CCP section 430.10(f), is disfavored and will only be sustained where the pleading is so bad that defendant cannot reasonably respond—i.e., cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him/her. (*Khoury v. Maly's of Calif., Inc.* (1993) 14 Cal.App.4th 612, 616.)

Moreover, even if the pleading is somewhat vague, "ambiguities can be clarified under modern discovery procedures." (*Ibid.*)

Third,

Defendant provides no legal authority for the proposition that one of the elements of a claim for fraudulent inducement is a "material" misrepresentation.

Fourth, as

explained in *Chapman*, "A misrepresentation is judged to be "material" if "a reasonable man would attach importance to its existence or nonexistence in determining his choice of action in the transaction in question" [citations], and as such materiality is generally a question of fact unless the "fact misrepresented is so obviously unimportant that the jury could not reasonably find that a reasonable man would have been influenced by it." (*Chapman v. Skype Inc.* (2013) 220 Cal.App.4th 217, 229 citing *Engalla v. Permanente Medical Group, Inc.* (1997)

15 Cal.4th 951, 976-977.)

Fifth, the page that Defendant cites to in Dhital, page 839, does not state that for a fraudulent inducement claim the Plaintiff must allege the word “material” when alleging what the misrepresentation is.

As explained in Dhital:

Fraudulent inducement is a viable tort claim under California law. “The elements of fraud are (a) a misrepresentation (false representation, concealment, or nondisclosure); (b) scienter or knowledge of its falsity; (c) intent to induce reliance; (d) justifiable reliance; and (e) resulting damage. [Citations.] *839 Fraud in the inducement is a subset of the tort of fraud. It ‘occurs when “ ‘the promisor knows what he is signing but his consent is induced by fraud, mutual assent is present and a contract is formed, which, by reason of the fraud, is voidable.’ ” ’ ” (Hinesley v. Oakshade Town Center (2005) 135 Cal.App.4th 289, 294–295 , 37 Cal.Rptr.3d 364; accord, Geraghty v. Shalizi (2017) 8 Cal.App.5th 593, 597 , 215 Cal.Rptr.3d 61.

(Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 838-839.)

Here, Plaintiff alleges facts sufficient to state a cause of action for fraudulent inducement.

Plaintiff alleges a misrepresentation and knowledge of its falsity in ¶¶ 76-77 of the SAC.

Plaintiff alleges intent to induce reliance in ¶ 78 of the SAC.

Plaintiff alleges justifiable reliance in ¶¶ 79-81 of the SAC.

Plaintiff alleges resulting damage in ¶ 81 of the SAC.

Sixth, for pleading purposes, even if Plaintiff had to plead that the misrepresentation is "material," Plaintiff sufficiently does this via paragraphs 8, 13 and 75-78 of the SAC.

Defendant also argues that the unspecified conflict with an escrow company's former employee does not relate to a matter of substance or directly affect the purpose of the purchase agreement.

To support Defendant's argument, Defendant cites to *Handley v. Handley* (1960) 179 Cal. App. 2d 742, 746.

The Court does not find Defendant's argument/citation to *Handley* availing.

Handley had nothing to do with the pleading standard for fraudulent inducement.

Handley pertained to a judgment granting a plaintiff an annulment of his marriage and discussed issues relating to when a marriage may be annulled for fraud. (See *Handley v. Handley* (1960) 179 Cal.App.2d 7442, 746.)

Issue 3

Defendant also argues that Plaintiff failed to allege falsity.

The Court does not find Defendant's argument availing.

Plaintiff alleges falsity in ¶ 77 of the SAC.

Issue 4

Defendant

argues that the SAC fails to allege causation.

The Court does
not find Defendant's argument availing.

Plaintiff
alleges causation in ¶¶ 79-81 of the SAC.

TENTATIVE RULING SUMMARY

Defendant's
demurrer to the seventh cause of action (fraudulent inducement) made on the
basis of failure to state facts sufficient to constitute a cause of action and
uncertainty is OVERRULED.